

industries. This was, as A.K. Bagchi noted, “quite contrary to the trend in the rest of the world, including the British Dominions”. After 1918, under the pressure of the national movement, the Government of India was forced to grant some tariff protection to a few industries. But this was inadequate and ineffective.

Check Your Progress 3

- 1) Why was the capital formation low during the period 1914-46?

.....

.....

.....

.....

.....

- 2) Trace out the elements of Mercantilism in the trade and fiscal policy resorted by the East India Company during the period 1759-1813.

.....

.....

.....

.....

.....

- 3) What was the nature of structural change that took place in the composition of India’s trade during the period 1813-1850?

.....

.....

.....

.....

.....

- 4) What was the approach of the colonial state (British State) in the development of industry and agriculture in India?

.....

.....

.....

.....

.....

- 5) State the features of tax structure in the colonial regime during the period 1900-01 to 1946-47.

.....

.....

.....

.....

.....

1.7 PROGRAMME OF ECONOMIC RECONSTRUCTION FOR INDEPENDENT INDIA

Indian national movement was a popular people's movement which represented the interests of different classes and strata of the Indian society. A self-reliant economic development that supported social justice and modernisation of the society emerged as a common goal during the struggle for independence. In their speeches, writings, programmes and actions, the nationalists Congress leaders and business leaders expressed the need for planned industrialisation, public investment in social and economic infrastructure, in both rural and urban areas, agrarian reform and creation of modern financial system.

Since early stages of the national movement, nationalist believed in complete economic transformation of the country based on industrialisation. In the words of M.G. Ranade, factories could 'far more effectively than Schools and Colleges give a new birth to the activities of the Nation.' Surendranath Banerjee believed that industrial activity could help unite diverse peoples of India.

Newspaper the *Bengalee* in its edition on January 18, 1902 argued that: 'The agitation for political rights may bind the various nationalities of India together for a time. The community of interests may cease when these rights are achieved. But the commercial union of the various Indian nationalities, once established, will never cease to exist. Commercial and industrial activity is, therefore, a bond of very strong union and is, therefore, a mighty factor in the formation of a great Indian nation.' (adopted from Bipan Chandra, *Rise and Growth of Economic Nationalism in India*, 2010, pp70-71) It was in context of this vision of industrialisation that nationalists took up the issues of foreign trade, railways, tariffs, currency and exchange, finance, and labour legislation. During the First World War and after, when the social base of the national movement became more broad-based with involvement of workers and peasant, the issue of interests of workers and peasants were endorsed by the Indian National Congress in its Karachi session held in March 1931. The Karachi session became memorable for its resolution on Fundamental Rights and the National Economic Programme. In its resolution on National Economic Programme, it declared that 'in order to end the exploitation of the masses, political freedom must include real economic freedom of the starving millions.' It, besides promising substantial reduction in rent and revenue and living wages for workers, also emphasised state ownership or control of key industries, mines and means of transport.

However, it was realised that the problems of poverty and unemployment and of the economic regeneration in general cannot be solved without industrialisation to which end a comprehensive scheme of national planning was required.

In 1938, Subhas Chandra Bose was elected the President of the Indian National Congress and presided over the 51st session at Haripura. In his presidential address, he spoke of the planned economic development of independent India on socialistic lines. He said, "I have no doubt in my mind that our chief national problems relating to the eradication of poverty, illiteracy and disease, and to scientific production and distribution can be effectively tackled only along socialist lines. The very first thing which our future national government will have to do would

be to set up a commission for drawing up a comprehensive plan for reconstruction.”

In October 1938, the Congress President, Subhas Chandra Bose, set up the National Planning Committee (NPC) with Jawaharlal as its Chairman. The NPC was an exception in bringing together a striking group of policymakers, politicians, and experts from various fields covering the widest spectrum of activities in the economy. Equally important, several business leaders actively participated in this deliberative process led by Jawaharlal Nehru. The committee had fourteen members selected from occupationally diverse backgrounds, four industrialists—Ambalal Sarabhai, Puroshottam Thakurdas, Walchand Hirachand and A.D. Shroff, five scientists, Meghnad Saha, A.K. Saha, Nazir Ahmed, J.C. Ghosh and V.S. Dubey, three economists, K.T. Shah, Radha Kamal Mukherjee and M. Visvesvaraya. The two other members were J. C. Kumarappa, who with his Gandhian ideals represented the All-India Village Association and N.M. Joshi, a representative of industrial workers.

The massive architecture of planning that the NPC sought to undertake was evident from the division of work among its members. Eight themes were identified, namely, agriculture, industry, demographic relations, trade, transport, public welfare, education, and women’s role. The work of this group was an important step in evolving a national consensus.

Indian capitalists had a long-term strategic interest in success of the national movement and it contributed in the evolution of consensus for national development. The capitalist class in India grew from about mid-19th century with largely an independent capital base. It grew rapidly between 1919 and 1947. Close to independence, indigenous enterprise had already cornered about seventy-three per cent of the domestic market and over eighty per cent of the deposits in the organised banking sector. In fact, by the mid-1920s, Indian capitalists began to correctly perceive their long-term class interest and felt strong enough to take a consistent and openly anti-imperialist position. This effort culminated in the formation of the Federation of Indian Chambers of Commerce and Industry (FICCI) in 1927.

Indian business leaders, with some of the most astute minds of the period in their ranks, developed a fairly comprehensive economic critique of imperialism in all its manifestations, whether it be direct appropriation through home charges or exploitation through trade, finance, currency manipulation or foreign investments. As Sir Purshottamdas, President of FICCI, declared at its second annual session in 1928: ‘Indian commerce and industry are intimately associated with and are, indeed, an integral part of the national movement — growing with its growth and strengthening with its strength.’ In a statement issued to the Press on December 25, 1942, FICCI asserted: “India’s vital interests in the economic, financial an[d] fiscal spheres have hitherto been subordinated to those of Britain and whenever they have been in conflict, . . . Indian interests have in the past been sacrificed or relegated to a second place.” (FICCI, Correspondence and Relevant Documents Relating to Important Questions Dealt with by the Federation during the Year 1942-43.)

During Second World War, big three of the Indian business world — J.R.D. Tata, G.D. Birla and Lala Sri Ram issued *A Plan of Economic Development for India*. This came to be known as ‘the Bombay Plan’. The other signatories to this plan